Indian Equity Research

9th March 2026

Transrail Lighting Ltd.

Sector: Power Transmission EPC
CMP(₹): 498

12m Multiple Based TP: ₹ 818 Upside: 64%

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Avalon Investments

At Avalon Investments, we initiate coverage on Transrail Lighting Ltd. (Symbol: TRANSRAILL) with a "**BUY**" rating and a target price of ₹818. Transrail Lighting is an Engineering, Procurement and Construction (EPC) company focused on Power Transmission & Distribution infrastructure, with nearly four decades of industry experience. The company operates integrated manufacturing facilities producing lattice structures, conductors & monopoles and has strong execution capabilities in EPC projects.

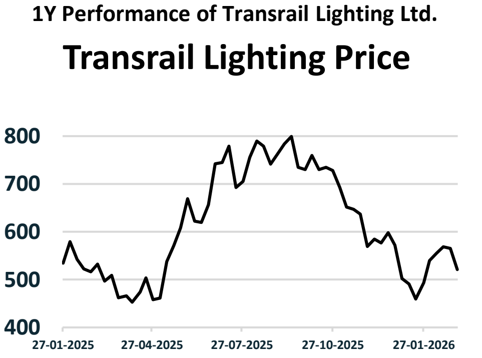
Market Data

Market Cap	₹6,691 Cr.
Enterprise Value	₹7,017 Cr.
Current Market Price	₹498
52 Week H/L	₹856/395
Book Value per Share	₹154
Debt to Equity	0.39x
P/E	15.7x
EV/EBITDA	8.7x
ROE	21.2%
ROCE	37.8%

Quick Snapshot

TTM Revenue	6,963 Cr.
3Y Rev CAGR	32%
3Y PAT CAGR	71%
TTM EBITDA %	12.15%
TTM PAT %	6.22%
1Y Return	-4%

1Y Performance of Transrail Lighting Ltd.



Business Overview

Transrail Lighting is a leading EPC player in the **Transmission & Distribution (T&D) sector**, executing projects across both domestic and international markets. The company's diversified business portfolio spans **Power Transmission & Distribution, Civil Infrastructure, Railways (including Rail Electrification), Poles & Lighting and Solar EPC** segments. This diversified presence enables the company to participate in multiple types of infrastructure projects such as **Power grid expansion, Renewable energy integration and Railway electrification**.

Since inception, Transrail has executed **over 200 projects across more than 59 countries**, establishing a strong global presence across **Asia, Africa, Europe, and Latin America**. The company undertakes both **turnkey EPC contracts and supply based projects.** As of FY25, the company has constructed **over 35,000 circuit kilometers (CKm) of transmission lines** and supplied **more than 1.46 Million metric tonnes of towers**, reflecting its execution track record and strong positioning within the power transmission infrastructure market.

Investment Thesis

1. Strong Power Transmission Capex Supercycle

The Indian power T&D sector is in the midst of a multi decade capex super cycle. The CEA's National Electricity Plan mandates ₹9.16 trillion in transmission investment across FY23-FY32, an average of ₹91,600 Cr. per year vs the historical run rate of ₹40,000-50,000 Cr. annually. This represents a near doubling of the pace of spend. The Union Budget FY27 further ratified this with a 32% increase in PGCIL's capex allocation to ₹37,000 Cr.

2. Robust Order Book Providing Multi-Year Revenue Visibility

Transrail's executable order book of ₹14,733 Cr. as of Q3FY26, supplemented by an L1 pipeline of ₹3,483 Cr., translates to a combined ₹18,216 Cr., 2.6x the annualized FY26E revenue run rate. Order inflows have scaled sharply with ₹4,383 Cr. in FY24, ₹9,680 Cr. in FY25 (+121% YoY), and ₹7,980 Cr. already booked by February 2026 against full year guidance of ₹9,500-10,000 Cr..

3. Integrated Manufacturing

Transrail's vertical integration across towers (84,000 MTPA) and conductors (24,000 CKm), and monopoles distinguishes it from pureplay EPC competitors who must source these components externally.

This integration provides three distinct advantages:

a. **Margin protection:** In-house manufacturing captures the manufacturing margin that outsourced players cede to suppliers.
b. **Supply chain certainty:** In-house production eliminates lead time risk on critical inputs, allowing faster project execution and avoiding cost overruns from market price volatility in steel & aluminium.
c. **Capacity expansion as a growth multiplier:** Ongoing brownfield expansion to 1,96,000 MTPA (Towers) and 49,500 CKM (Conductors) by FY27 will double manufacturing output, enabling revenue scaling.

4. Diversified Geographical Presence

International business constitutes to around 41% of Q3FY26 revenue and around 50% of order book, providing material diversification away from domestic PGCIL/SEB order cycles. Operations across 27 international branches in 15+ countries (Africa, MENA, South/Southeast Asia) insulate the company from domestic policy or execution delays.

Business Segments

Transrail Lighting operates across four key revenue verticals:

1. **Power Transmission & Distribution (T&D)**
   This segment undertakes turnkey EPC projects involving High Voltage Transmission lines (up to 765 kV), Air/Gas insulated substations and distribution infrastructure.

2. **Civil Construction**
   The Civil Construction vertical focuses on EPC projects for civil infrastructure including **bridges, tunnels, elevated roads, and cooling towers**.

3. **Poles & Lighting**
   Transrail manufactures and installs **engineered galvanized steel poles and LED lighting solutions**.

4. **Railways**
   This segment covers EPC services including **overhead electrification, signaling, telecommunications infrastructure, earthwork and track linking services**.

Industry Overview & Catalysts

Macro Backdrop

India is the 3rd **largest producer and consumer** of electricity in the world.
Total installed generation capacity reached **505 GW** as of October 31, 2025, of which **non-fossil sources account for 2,59,423 MW**, more than half for the first time in the country's history with demand growing quickly.

In **FY25**, India **consumed 1,694 billion units** of electricity, **33% higher than in FY21,** a five year **CAGR of 7.4%**.
The CEA's **National Electricity Plan** projects **peak power demand at 277 GW for FY27** and **366 GW for FY32**, up from **250 GW in June 2025**.

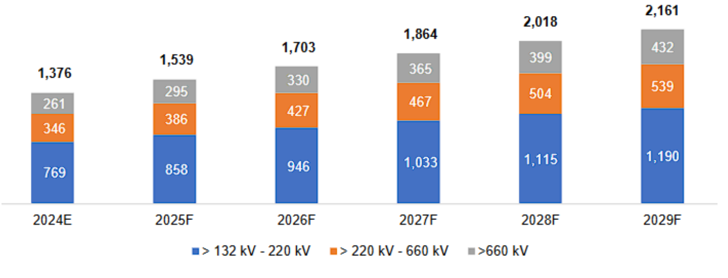
The government's **500 GW non-fossil capacity target by 2030** is the dominant structural driver for the T&D EPC sector. Each gigawatt of renewable generation added at the grid edge, wind parks, solar farms, pumped storage, all needs appropriate and proportionate transmission and distribution infrastructure to reach load centres.

T&D EPC Market Size and Forecast

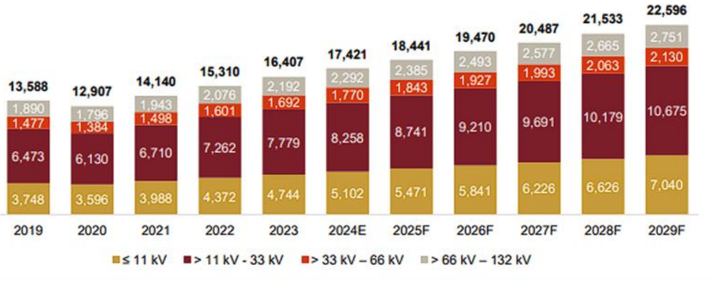
The India Power T&D EPC market stood at **USD 14.68 billion in 2025** and is forecast to reach **USD 35.20 billion by 2035** at a **9.34% CAGR**. Transmission investment is projected to rise from **USD 1,376 million (2024) to USD 2,161 million by 2029**, with the >660 kV segment nearly doubling as HVDC and Ultra High Voltage projects scale up.

Distribution spending is larger in absolute terms, growing from **USD 18,441 million in 2025 to USD 22,596 million by 2029**, with the >66 kV-132 kV substation and feeder segment expanding from **USD 1,770 million to USD 2,751 million**. Combined annual T&D investment across voltage bands reaches approximately **USD 24.7 billion by 2029 v/s USD 13.6 billion** at the distribution level alone in 2019.

The decade long spending ramp up is structural. Electrification demand growth, India's 500 GW renewable target and a grid needing fundamental rewiring for distributed generation underpin it. For EPC contractors with High Voltage manufacturing credentials, this translates into a policy-backed order pipeline with no near-term ceiling.



India voltage-wise transmission lines YoY investment forecast (USD million)



India voltage-wise distribution lines YoY investment forecast (USD million)

Tariff-Based Competitive Bidding (TBCB) & Private Sector

TBCB has structurally opened India's interstate transmission sector to private capital. **PGCIL manages projects worth 1,54,680 Cr**. The private transmission developer universe now includes Adani Energy Solutions (order book ₹54,761 Cr., anchored by the ₹25,000 Cr. Bhadla–Fatehpur HVDC project), Sterlite Power, IndiGrid, and ReNew Transmission Ventures.

Private transmission developers, unlike PGCIL **do not build in-house**, they **outsource all construction to EPC contractors**. This is a structural demand driver for firms with the credentials to compete on high value transmission projects. In the nine months till December 2025, **seven interstate transmission systems TBCB schemes** were commissioned, including four by private sector developers.

Renewable Energy Evacuation: A Structural Driver

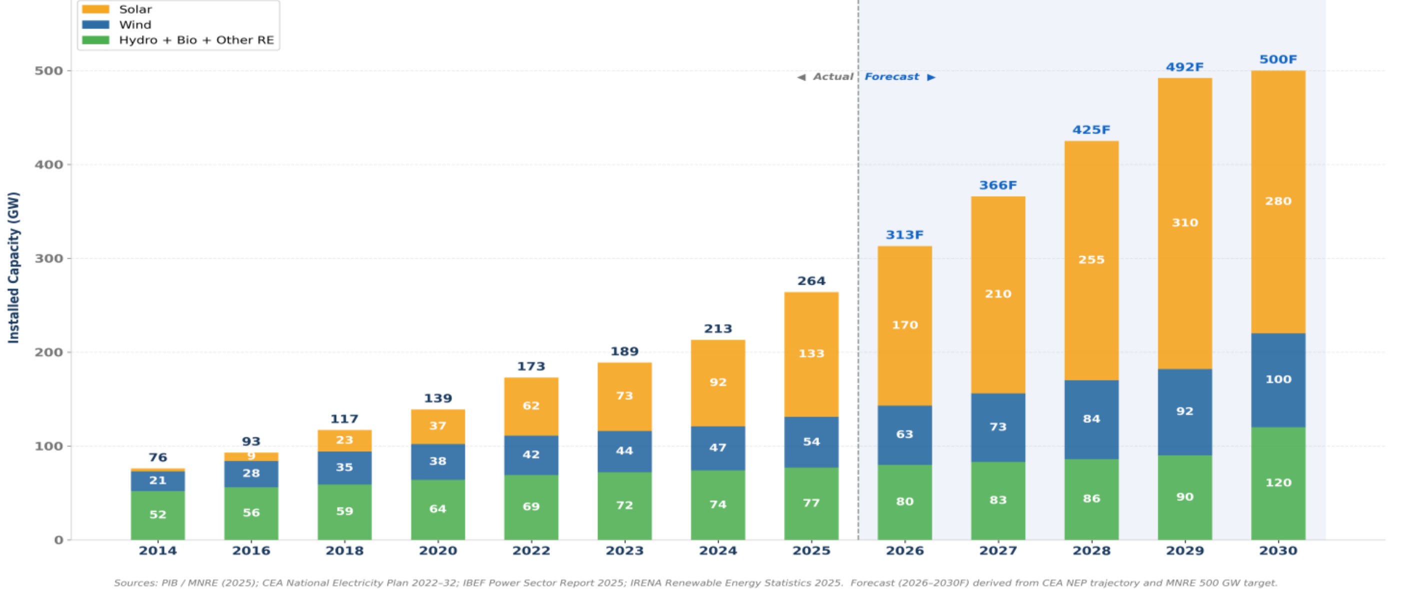
India's renewable buildout is accelerating at a pace ahead of most official projections, with direct consequences for transmission investment. Every new solar or wind project added at the grid edge needs dedicated evacuation infrastructure to deliver power to load centres.

- **FY25 & FY26 capacity additions:** India **added 29.52 GW of renewable capacity in FY25**. In the **five months from April to August FY26 alone, 20.10 GW was commissioned,** a **123% increase** on the same period in the prior year.

- **Record renewable generation share:** In July 2025, renewable sources met **51.5% of India's electricity demand of 203 GW**, the highest share ever recorded. Solar contributed 44.50 GW and wind 29.89 GW.

- **Intra-state infrastructure:** Green Energy Corridor Phase-II targets **10,750 Ckt Km of new intrastate lines** and **27,500 MVA of new substation capacity** across seven states for renewable evacuation of approximately 20 GW.

India Renewable Energy Installed Capacity (GW) | 2014 – 2030F



Sources: PIB / MNRE (2025); CEA National Electricity Plan 2022–32; IBEF Power Sector Report 2025; IRENA Renewable Energy Statistics 2025. Forecast (2026–2030F) derived from CEA NEP trajectory and MNRE 500 GW target.

Key Risks

1. **Working Capital & Debtor Risk:** PGCIL/SEB payment cycles of 90-120 days and sovereign collection risk in international markets (Bangladesh receivables at ₹488 Cr.s as of Q3FY26) structurally pressure the balance sheet if faced with any unforeseen issues.

2. **Commodity Pass Through Lag:** Steel (Towers) and aluminium (Conductors) are the two largest cost inputs. At 12% EBITDA margins, any unhedged commodity spike can deteriorate margins if no pass through clause is present.

3. **Client Concentration:** Around 50% of the order book is domestic, dominated by PGCIL and SEBs. Any cut to PGCIL's ₹37,000 Cr FY27 capex can reduce addressable inflows for the company.

4. **International Execution & FX Risk:** Around 41% of Q3FY26 revenue comes from 15+ countries across Africa and MENA, geographies prone to political disruption and payment delays. Contracts are USD/EUR denominated but costs are partly local-currency, creating a multi-directional forex mismatch.

5. **Capacity Expansion & Talent Risk:** Simultaneous brownfield expansion and ₹18,216 Cr order book ramp is the most operationally demanding period post-IPO. Any commissioning delay might compress the utilisation window at peak demand.

Management Overview

Mr. Digambar Bagde, Executive Chairman: Founder-promoter with 40+ years in T&D EPC (B.Sc. Civil Eng., MSU Baroda). Previously Deputy MD (T&D) at Gammon India before founding Transrail in 1984. Leads board strategy and key PGCIL/government relationships.

Mr. Randeep Narang, MD & CEO: Appointed in 2020 with 35+ years of leadership across KEC International (President, International T&D), CEAT Kelani Holdings, and Bharti Airtel. Order inflows have scaled from ₹4,383 Cr in FY24 to ₹9,680 Cr in FY25 since his appointment, reflecting improved bid management and commercial aggression.

Mr. Raman Rajagopalan, Deputy MD: Long tenured Transrail operator overseeing day-to-day execution across project sites, procurement, logistics, and manufacturing. His materials management background is directly relevant to steel and aluminium procurement discipline at scale.

Mr. Rajesh Neelakantan, CSO & Group CFO: Oversees brownfield expansion financing, working capital management at ₹18,000+ Cr order book scale, and post-IPO investor relations.

Financials

Income Statement (Cr.)

Particulars (Cr.)	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Revenue from Operations	**2,350.0**	**3,152.0**	**4,077.0**	**5,308.0**	**6,900.4**	**8,694.5**	**10,868.1**
Growth (%)		34.1%	29.3%	30.2%	30.0%	26.0%	25.0%
Cost of Materials Consumed	1,188.0	1,813.0	2,208.0	2,569.0	3,339.7	4,341.6	5,557.3
Gross Profit	**1,162.0**	**1,339.0**	**1,869.0**	**2,739.0**	**3,560.7**	**4,352.9**	**5,310.9**
GPM (%)	49.4%	42.5%	45.8%	51.6%	51.6%	50.1%	48.9%
Employee Benefit Expense	159.0	179.0	199.0	259.0	310.8	373.0	447.6
Sub-Contracting Expense	354.0	347.0	500.0	902.0	1,172.6	1,465.8	1,832.2
Other Expenses	442.0	520.0	695.0	905.0	1,086.0	1,303.2	1,563.8
EBITDA	**207.0**	**293.0**	**475.0**	**673.0**	**991.3**	**1,211.0**	**1,467.3**
EBITDA (%)	8.8%	9.3%	11.7%	12.7%	14.4%	13.9%	13.5%
Other Income	7.0	20.0	53.0	45.0	40.0	40.0	40.0
Depreciation & Ammortization	38.0	46.0	50.0	56.0	81.6	130.3	143.2
EBIT	**176.0**	**267.0**	**478.0**	**662.0**	**949.7**	**1,120.7**	**1,364.1**
EBIT (%)	7.5%	8.5%	11.7%	12.5%	13.8%	12.9%	12.6%
Interest Cost	85.0	120.0	163.0	198.0	255.3	308.7	380.4
Profit Before Tax	**91.0**	**147.0**	**315.0**	**464.0**	**694.4**	**812.0**	**983.7**
Share of Profit of Associate	-	1.0	2.0	1.0	1.0	1.0	1.0
Tax Expense	25.0	41.0	85.0	141.0	174.8	204.4	247.6
Profit after Tax	**66.0**	**107.0**	**232.0**	**324.0**	**520.6**	**608.7**	**737.1**
PAT (%)	2.8%	3.4%	5.7%	6.1%	7.5%	7.0%	6.8%
Forward PE (x)					**12.9**	**11.0**	**9.1**

Balance Sheet (Cr.)

Assets (Cr.)	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Property, Plant & Equipment	325.0	360.0	347.0	408.0	651.4	716.1	681.6
Right of Use-Assets	9.0	18.0	26.0	17.0	13.6	10.9	8.7
Capital Work-In-Progress	17.0	4.0	6.0	12.0	127.0	12.0	12.0
Other Non Current Assets	44.0	32.0	55.0	54.0	50.0	50.0	50.0
Financial Assets	52.0	84.0	54.0	191.0	213.6	248.4	278.4
Total Non Current Assets	**447.0**	**498.0**	**488.0**	**682.0**	**1,055.6**	**1,037.4**	**1,030.7**
Inventories	278.0	311.0	378.0	539.0	640.5	797.0	974.4
Trade Receivables	640.0	645.0	1,026.0	1,317.0	1,663.7	2,143.9	2,679.8
Cash, Cash Equivalents, Bank balance	111.0	198.0	224.0	621.0	664.8	1,082.0	1,533.3
Financial Assets	49.0	56.0	124.0	39.0	60.4	60.4	60.4
Contract Assets	1,094.0	1,467.0	1,951.0	2,522.0	3,278.6	4,131.0	5,163.8
Other Current Assets	222.0	269.0	428.0	512.0	665.6	838.7	1,048.3
Total Current Assets	**2,394.0**	**2,946.0**	**4,131.0**	**5,550.0**	**6,973.5**	**9,052.9**	**11,460.0**
TOTAL ASSETS	**2,841.0**	**3,444.0**	**4,619.0**	**6,232.0**	**8,029.1**	**10,090.2**	**12,490.7**

Financials

Balance Sheet (Cr.)

Liabilities (Cr.)	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Equity Share Capital	23.0	23.0	25.0	27.0	27.0	27.0	27.0
Other Equity	640.0	749.0	1,114.0	1,854.0	2,374.6	2,983.3	3,720.4
Equity attributable to shareholder	**663.0**	**772.0**	**1,139.0**	**1,881.0**	**2,401.6**	**3,010.3**	**3,747.4**
Total Equity	**663.0**	**772.0**	**1,139.0**	**1,881.0**	**2,401.6**	**3,010.3**	**3,747.4**
Non-Current Liabilities							
Borrowings	118.0	120.0	81.0	39.0	50.7	63.9	79.9
Lease Liabilities	3.0	8.0	14.0	10.0	8.0	6.4	5.1
Provisions	4.0	4.0	5.0	6.0	6.6	7.3	8.0
Other Liabilities	53.0	57.0	60.0	63.0	63.0	63.0	63.0
Total Non-Current Liabilities	**178.0**	**189.0**	**160.0**	**118.0**	**128.3**	**140.5**	**156.0**
Borrowings	351.0	485.0	563.0	605.0	756.3	907.5	1,089.0
Lease Liability	4.0	8.0	10.0	8.0	8.0	8.0	8.0
Trade Payables	1,071.0	1,308.0	1,669.0	2,340.0	3,065.2	3,925.3	4,872.1
Other Liabilities	25.0	24.0	35.0	39.0	50.7	63.9	79.9
Other Financial Liabilities	37.0	46.0	46.0	70.0	91.0	114.7	143.3
Provisions	51.0	51.0	42.0	51.0	66.3	83.5	104.4
Current Tax Liabilities (Net)	-	22.0	28.0	13.0	20.0	20.0	20.0
Contract Liabilities	460.0	541.0	930.0	1,109.0	1,441.7	1,816.5	2,270.7
Total Current Liabilities	**1,999.0**	**2,485.0**	**3,323.0**	**4,235.0**	**5,499.2**	**6,939.4**	**8,587.4**
TOTAL EQUITY AND LIABILITIES	**2,840.0**	**3,446.0**	**4,622.0**	**6,234.0**	**8,029.1**	**10,090.2**	**12,490.7**

Balance Sheet Ratios

Ratios	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Debtor days	99.4	74.7	91.9	90.6	88.0	90.0	90.0
Inventory days	85.4	62.6	62.5	76.6	70.0	67.0	64.0
Payable Days	329.1	263.3	275.9	332.5	335.0	330.0	320.0
Cash conversion cycle	**(144.2)**	**(126.0)**	**(121.6)**	**(165.3)**	**(177.0)**	**(173.0)**	**(166.0)**
Working capital days	**61.4**	**53.4**	**72.3**	**90.4**	**80.0**	**80.0**	**80.0**
Debtors Turnover		4.9	4.9	4.5	4.6	4.6	4.5
Inventory Turnover		6.2	6.4	5.6	5.7	6.0	6.3
Payables Turnover		1.5	1.5	1.3	1.2	1.2	1.3

Financials

Cash Flow Statement (Cr.)

Particulars	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Profit before tax and extraordinary items	91.0	147.0	315.0	464.0	694.4	812.0	983.7
Add: Depreciation	38.0	46.0	50.0	56.0	81.6	130.3	143.2
Add: Finance Costs	74.9	85.1	119.1	126.8	169.7	204.7	246.6
Other Non Cash Adjustments	-	4.0	2.0	(16.0)	5.0	5.0	5.0
Operating Profit Before Working Capital Changes	**203.9**	**282.1**	**486.1**	**630.8**	**950.7**	**1,152.0**	**1,378.5**
Working Capital Changes							
(Increase) / Decrease in Trade Receivables		(5.0)	(381.0)	(291.0)	(346.7)	(480.2)	(536.0)
(Increase) / Decrease in Inventories		(33.0)	(67.0)	(161.0)	(101.5)	(156.5)	(177.5)
(Increase) / Decrease in Contract Assets		(373.0)	(484.0)	(571.0)	(756.6)	(852.4)	(1,032.8)
(Increase) / Decrease in Other Current Assets		(47.0)	(159.0)	(84.0)	(153.6)	(173.1)	(209.7)
Increase / (Decrease) in Trade Payables		237.0	361.0	671.0	725.2	860.1	946.8
Increase / (Decrease) in Contract Liabilities		81.0	389.0	179.0	332.7	374.8	454.1
Increase / (Decrease) in Other Liabilities & Provisions		8.0	2.0	37.0	48.0	54.1	65.5
Net Working Capital Changes		**(132.0)**	**(339.0)**	**(220.0)**	**(252.4)**	**(373.1)**	**(489.4)**
Cash Generated From Operations		**150.1**	**147.1**	**410.8**	**698.3**	**778.8**	**889.1**
Less: Direct Taxes Paid		13.7	110.0	132.0	221.7	263.1	323.4
Net Cash From Operating Activities (A)		**136.4**	**37.1**	**278.8**	**476.6**	**515.8**	**565.7**
Cash Flow From Investing Activities							
Payment for property, plant & equipment		(54.0)	(29.0)	(141.8)	(325.0)	(195.0)	-
Proceeds from sale of property, plant & equipments		2.1	1.7	4.2	4.2	4.2	4.2
Movement in other bank balances		(48.7)	(36.8)	(382.1)	(43.8)	(417.2)	(451.3)
Sales of investment in associates		-	3.2	-	-	-	-
Purchase of other investments		-	(4.5)	(0.4)	-	-	-
Sale of other investments		-	3.3	5.1	5.1	5.1	5.1
Interest received		6.3	13.2	16.9	16.9	16.9	16.9
Loans and advances given to related parties		(12.5)	(47.0)	31.0	31.0	31.0	31.0
Loan and advances repaid by related parties		**2.2**	**17.5**	**(30.7)**	**(3.7)**	**(5.6)**	**(13.3)**
Net Cash used in Investing Activities (B)		**(104.6)**	**(78.3)**	**(497.6)**	**(315.2)**	**(560.6)**	**(407.3)**
Cash Flow From Financing Activities							
Interest paid		(99.8)	(140.0)	(159.1)	198.9	238.7	286.4
Proceeds from rights issue of equity shares		-	140.0	-	-	-	-
Proceeds from long term borrowings		100.5	8.5	15.5	11.7	13.2	16.0
Repayment of long term borrowings		(119.1)	(60.2)	(65.8)	(40.0)	(30.0)	(30.0)
Proceeds from / (repayment of) short term borrowings		154.5	90.0	50.6	50.6	50.6	50.6
Proceeds from allotment of equity shares on private placement basis		-	-	50.0	-	-	-
Proceeds from allotment of equity shares in IPO		-	-	400.0	-	-	-
Share issue expenses		-	-	(23.1)	-	-	-
Dividends paid		-	-	(18.6)	(18.6)	(18.6)	(18.6)
Interest on lease liabilities		(1.6)	(2.8)	(2.2)	2.4	2.7	2.9
Principal repayment of lease liabilities		(6.2)	(7.6)	(5.3)	(5.3)	(5.3)	(5.3)
Net Cash (used in) / from Financing Activities (C)		**28.2**	**28.0**	**241.9**	**199.7**	**251.2**	**301.9**
Net Increase/ (Decrease) In Cash And Cash Equivalents (A + B + C)		**60.1**	**(13.2)**	**23.1**	**361.0**	**206.4**	**460.3**
Cash And Cash Equivalents As At (Opening Balance)			124.7	111.5	134.6	495.6	702.0
Cash And Cash Equivalents As (Closing Balance)			**111.5**	**134.6**	**495.6**	**702.0**	**1,162.3**

Financials

EV/EBITDA & P/E Based Valuation Forecast

Metric	FY25A	FY26E	FY27E	FY28E
Revenue	5,308.0	6,900.4	8,694.5	10,868.1
EBITDA	673.0	991.3	1,211.0	1,467.3
EBITDA Margin (%)	12.7%	14.4%	13.9%	13.5%
PAT	324.0	520.6	608.7	737.1
PAT Margin (%)	6.1%	7.5%	7.0%	6.8%
EPS (₹)	24.1	38.8	45.3	54.9
Total Debt	644.0	807.0	971.4	1,168.9
Cash & Bank Balance	621.0	664.8	1,082.0	1,533.3
Net Debt / (Cash)	23.0	142.2	-110.6	-364.5

EV/EBITDA Forecast (Based on FY27E)

Particulars	Bear Case	Base Case	Bull Case
Target EV/EBITDA Multiple (x)	7	10	12
FY27E EBITDA (₹ Cr.)	1,211.0	1,211.0	1,211.0
Implied Enterprise Value (₹ Cr	8,476.9	12,109.8	14,531.8
Less: Net Debt FY27E (₹ Cr.)	-110.6	-110.6	-110.6
Implied Equity Value (₹ Cr.)	8,587.5	12,220.5	14,642.4
Shares Outstanding (Cr.)	13.4	13.4	13.4
Target Price (₹)	**639.7**	**910.3**	**1,090.7**
Upside / (Downside) %	***28%***	***83%***	***119%***

P/E Forecast (Based on FY27E)

Particulars	Bear Case	Base Case	Bull Case
Target P/E Multiple (x)	11	15	18
FY27E EPS (₹)	45.34	45.34	45.34
Target Price (₹)	**498.7**	**680.1**	**816.1**
Upside / (Downside) %	***0%***	***37%***	***64%***

Blended Valuation Summary

Method	Weightage	Bear Price	Base Price	Bull Price
EV/EBITDA	60%	639.7	910.3	1,090.7
P/E	40%	498.7	680.1	816.1
Blended Target Price		**583.3**	**818.2**	**980.8**
CMP		498.0	498.0	498.0
Upside/(downside) %		***17%***	***64%***	***97%***

Financials

Ratios (Cr.)

Particulars	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Solvency (x)							
Debt-to-Equity	0.71	0.78	0.57	0.34	0.34	0.32	0.31
Debt-to-EBITDA	2.27	2.06	1.36	0.96	0.81	0.80	0.80
Interest Coverage	2.07	2.23	2.93	3.34	3.72	3.63	3.59
Liquidity (x)							
Current Ratio	1.20	1.19	1.24	1.31	1.27	1.30	1.33
Quick Ratio	0.40	0.36	0.41	0.47	0.43	0.47	0.50
Cash Ratio	0.06	0.08	0.07	0.15	0.12	0.16	0.18
Profitability (%)							
Gross Profit Margin	49.4%	42.5%	45.8%	51.6%	51.6%	50.1%	48.9%
EBITDA Margin	8.8%	9.3%	11.7%	12.7%	14.4%	13.9%	13.5%
PBT	3.9%	4.7%	7.7%	8.7%	10.1%	9.3%	9.1%
PAT	2.8%	3.4%	5.7%	6.1%	7.5%	7.0%	6.8%
Returns (%)							
ROE	10.0%	13.9%	20.4%	17.2%	21.7%	20.2%	19.7%
ROCE	20.9%	27.8%	36.9%	33.1%	37.5%	35.6%	34.9%
ROA	2.3%	3.4%	5.8%	6.0%	7.3%	6.7%	6.5%
Turnover (x)							
Working Capital Turnover	5.95	6.84	5.05	4.04	4.56	4.56	4.56
Debtors Turnover	3.67	4.91	4.88	4.53	4.63	4.57	4.51
Inventory Turnover	4.27	6.16	6.41	5.60	5.66	6.04	6.27
Payables Turnover	1.11	1.52	1.48	1.28	1.24	1.24	1.26
Multiples (x)							
PE	26.35	24.02	19.00	15.45	12.85	10.99	9.08
PEG		0.70	0.65	0.52	0.43	0.42	0.36
EV/EBITDA	10.40	10.40	10.40	11.00	7.08	5.79	4.78
EV/Sales	0.92	0.97	1.21	1.39	1.02	0.81	0.65
EV/CFO	43.06	22.34	133.15	26.55	14.72	13.60	12.40

Forensic Ratios	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
CFO/PAT	0.8	1.27	0.16	0.86	0.92	0.85	0.77
CFO/EBITDA	0.2	0.47	0.08	0.41	0.48	0.43	0.39
CFO/EBIT	0.3	0.51	0.08	0.42	0.50	0.46	0.41
Accrual Ratio	0.6%	-0.9%	4.8%	0.8%	0.6%	1.0%	1.5%
Depreciation as % of Revenue	1.6%	1.5%	1.2%	1.1%	1.2%	1.5%	1.3%
Sales Growth (%)		34.1%	29.3%	30.2%	30.0%	26.0%	25.0%
Receivables Growth (%)		0.8%	59.1%	28.4%	26.3%	28.9%	25.0%
Receivables / Sales	0.27	0.20	0.25	0.25	0.24	0.25	0.25

Shareholding Pattern

Particulars	Dec'24	Mar'25	Jun'25	Sep'25	Dec'25
Promoter	71.12%	71.12%	71.12%	71.12%	71.12%
Foreign Institutional Investors	1%	0.61%	1.43%	1.16%	1.14%
Domestic Institutional Investors	15.15%	14.08%	12.44%	8.41%	8.21%
Public	12.74%	14.20%	15.01%	19.31%	19.53%
No. of Shareholders	1,42,684	1,29,923	1,27,752	1,52,942	1,61,306

Peers Comparison

Particulars	Transrail Lighting	Skipper	Kalpataru Projects	KEC International
OrderBook as of Q3FY26	14,733	9,009	63,287	36,725
T&D Orderbook (%) of total	92%	88%	41%	64%
Domestic v/s International OB				
Domestic	57%	90%	88%	55%
International	43%	10%	12%	45%
Manufacturing capacity				
Towers/Poles/Hardware	Brownfield Expansion Ongoing	3,75,000	2,40,000	4,32,200
Cables	24,000KM (Conductors)	N/A	N/A	95,000 MTPA
Market Cap	6,691	3,721	18,630	13,981
Enterprise Value	7,017	4,466	22,539	18,876
Financials				
Revenue	6,963	5,174	26,432	23,988
Domestic Revenue (%)	59%	90%	87%	63%
International revenue (%)	41%	10%	13%	37%
EBITDA	846	523	2,137	1,749
EBITDA Margin (%)	12.1%	10.1%	8.1%	7.3%
PAT	433	176	818	681
PAT Margin (%)	6.2%	3.4%	3.1%	2.8%
Valuation Multiples				
Price-to-Sales	1.0	0.7	0.7	0.6
Price-to-Earnings	15.5	21.1	22.8	20.5
EV/EBITDA	8.3	8.5	10.5	10.8
EV/Orderbook	0.5	0.5	0.4	0.5
Return Ratios				
ROE	21.6%	14.2%	10.0%	12.0%
ROCE	35.2%	24.4%	16.0%	18.0%

Story in charts

Exhibit 1: Revenue & EBITDA Margins growth

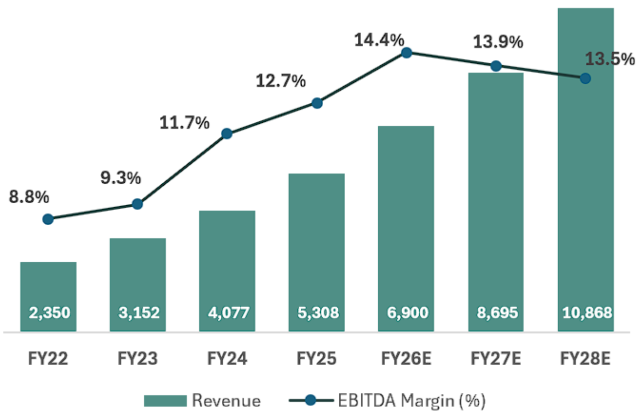


Exhibit 2: PAT, ROCE, ROE trends

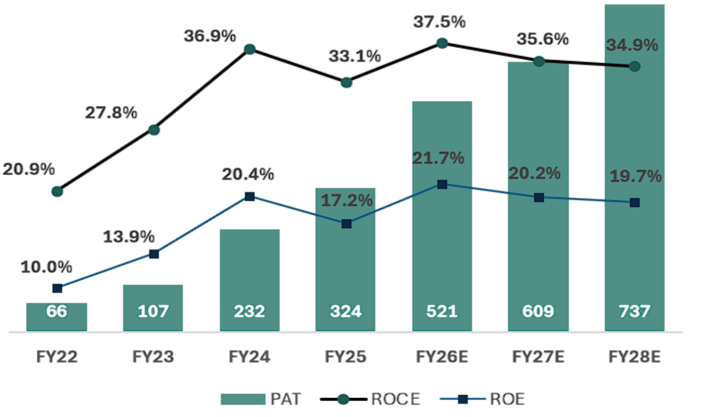


Exhibit 3: 9MFY26 Order Inflow Split

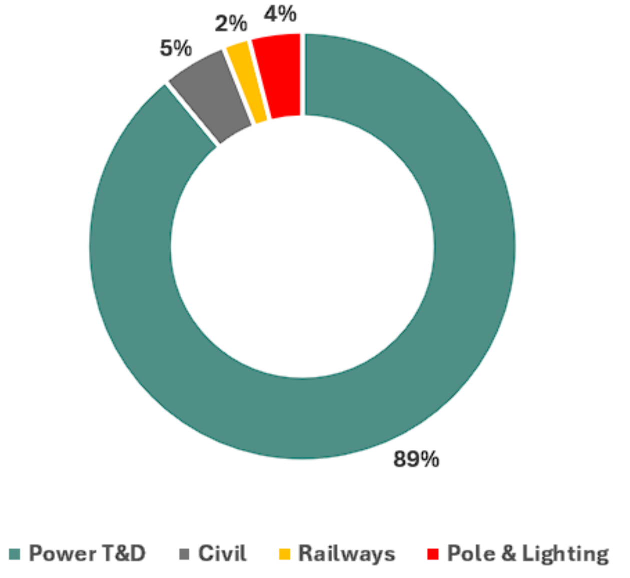


Exhibit 4: 9MFY26 Unexecuted Order Book Split

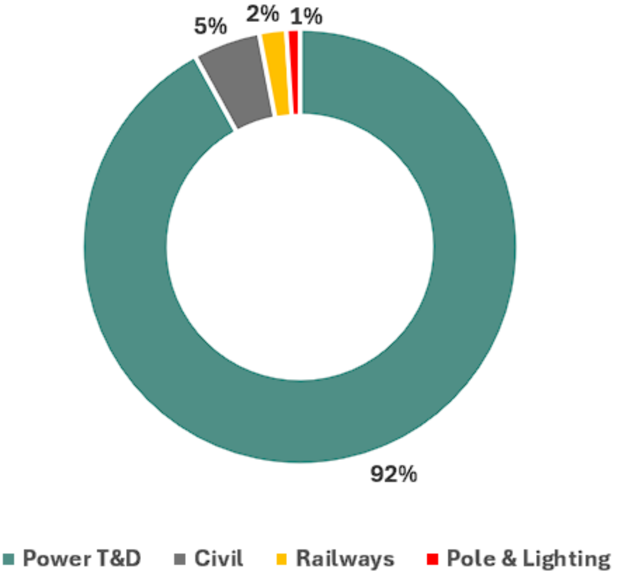


Exhibit 5: Revenue & Order Book growth

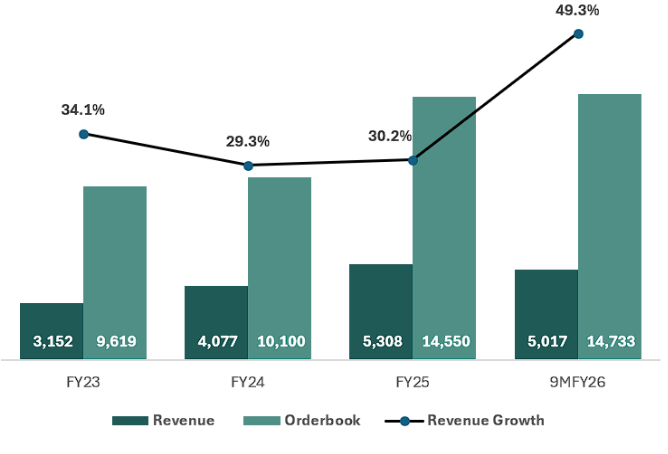


Exhibit 6: Peers Comparison